

Eco401 – Economics Midterm Solved Papers Subjective and Objective For Exam Preparation

1

Which of the following is considered to be a variable cost in the long run?

- ▶ Expenditures for wages.
- ▶ Expenditures for research and development.
- ▶ Expenditures for raw materials.
- ▶ **All of the given options.**

2

A perfectly competitive firm maximizes profit by finding the level of production at which:

- ▶ **Price = Marginal Cost.**
- ▶ Price = Average Total Cost.
- ▶ Average Total Cost = Marginal Cost.
- ▶ Price < Marginal Cost.

3

If the cross price elasticity of demand between two goods X and Y is positive; it means that goods are:

- ▶ Independent.
- ▶ Complements.
- ▶ **Substitutes.**
- ▶ Inferior.

4

The long-run average total cost curve:

- ▶ **Traces out the points on the lowest short-run average total cost curve for each level of production.**
- ▶ Is inversely related to the depth of the short-run marginal cost curve.
- ▶ Traces out the midpoints on an average of several short-run average total cost curves.
- ▶ Is downward-sloping under decreasing returns to scale.

5

Marginal profit is equal to:

- ▶ **Marginal revenue minus marginal cost.**
- ▶ Marginal revenue plus marginal cost.
- ▶ Marginal cost minus marginal revenue.
- ▶ Marginal revenue times marginal cost.

6

Because of unusual warm weather, the supply of strawberries has substantially increased. This statement indicates that:

- ▶ The demand for strawberries will necessarily rise.
- ▶ **The equilibrium quantity of strawberries will fall.**

► The quantity of strawberries that will be available at various prices has increased.

► The price of strawberries will fall.

7

In a free-market economy, the allocation of resources is determined by:

► Votes taken by consumers.

► A central planning authority.

► **Consumer preferences.**

► The level of profits of firms.

8

We know that the demand for a product is elastic:

► When price rises, total revenue rises.

► **When price rises, total revenue falls.**

► When income rises, quantity demanded rises.

► When income falls, quantity demanded rises.

9

At the profit-maximizing level of output, marginal profit:

► Is positive.

► Is increasing.

► **Is zero.**

► Is also maximized.

10

An individual whose attitude towards risk is known as:

► **Risk averse.**

► Risk loving.

► Risk neutral.

► None of the given options.

11

Question No: 31 (Marks: 1) - Please choose one

What will happen if current output is more than the profit-maximizing output?

► The next unit produced will increase profit.

► **The next unit produced will decrease revenue more than it increases cost.**

► The next unit produced will decrease cost more than it increases revenue.

► The next unit produced will increase revenue without increasing cost.

12

Which of the following is TRUE about L-shaped isoquant?

► It indicates that the firm could switch from one output to another costlessly.

► It indicates that the firm could not switch from one output to another.

► It indicates that capital and labor cannot be substituted for each other in production.

► It is impossible.

13

As price increases total revenue decreases in case of

► Inelastic demand.

► Unit elastic demand.

► Zero elastic demand.

► **Elastic demand.**

14

The break-even point occurs when:

- Price < Average Variable Cost.
- Price < Average Total Cost.
- **Price = Average Total Cost.**
- Price > Average Variable Cost.

15

Which of the following is true about supply curve under monopoly?

- It is same as the competitive market supply curve.
- It is the portion of marginal cost curve where marginal costs exceed the minimum value of average variable costs.
- It is the result of market power and production costs.
- **None of the given statements is true.**

16

At the equilibrium price:

- There will be a shortage.
- **There will be neither a shortage nor a surplus.**
- There will be a surplus.
- There are forces that cause the price to change.

Subjective 100% in lecture no 18 to 22 Monopoly ,

Paper # 02
Spring 2010

Question No. 1 (M a r k s : 1)

Microeconomics is the branch of economics that deals with which of the following topics?

- The behavior of individual consumers.
- Unemployment and interest rates.
- The behavior of individual firms and investors.
- **The behavior of individual consumers and behavior of individual firms and investors.**

Question No: 2 (M a r k s : 1)

A market is said to be in equilibrium when:

- **Demand equals output.**
- There is downward pressure on price.

- ▶ The amount consumers wish to buy at the current price equals the amount producers wish to sell at that price.
- ▶ All buyers are able to find sellers willing to sell to them at the current price.

Question No: 3 (Marks: 1)

In order to calculate the price elasticity of supply, you need to know:

- ▶ Two prices and two quantities supplied.
- ▶ The slope of the supply curve.
- ▶ The equilibrium price and quantity in the market.
- ▶ **The quantity supplied at two different prices, all else equal.**

Question No: 4 (Marks: 1)

A demand curve is price elastic when:

- ▶ Changes in demand are proportionately greater than changes in price.
- ▶ **Changes in demand are equal to changes in price.**
- ▶ None of the given options.
- ▶ Changes in demand are proportionately smaller than changes in price.

Question No: 5 (Marks: 1)

Which of the following will be TRUE if demand is inelastic?

- ▶ The coefficient of elasticity is greater than one.
- ▶ The percentage change in quantity demanded is same as the percentage change in the price.
- ▶ **An increase in price will increase total revenue.**
- ▶ None of the given options.

Ref

Inelastic demand of any product means that if price of that product increases there is very small effect on its quantity demanded. As price increases, total revenue also increases in case of inelastic demand.

Ref

Its Simple When Demand is inelastic... then
%age increase in price > %age decrease in Demand....

e.g. OLD price = 100 and OLD Demand is 100
 $TR = 100 \times 100 = 10,000$

now increase price by 50% i.e. NEW Price = 150 and Decrease Demand by 10%
i.e New Demand = 90
So $TR = 150 \times 90 = 13,500$

Ref Question: How increase in price of an inelastic demanded good will increase total revenue?

Answer: Total revenue = Quantity produced x Price
We can prove this with the help of an example.

Example:

There are 10 goods being demanded at 10 rupees per each. (Total Revenue = 100)

Price of good is increased by 2 rupees, but as the demand is inelastic so we can say;

% change in quantity demanded < % Change in Price

10% Change in quantity demanded < 20% Change in Quantity Price

If Price increased by 2 rupees per unit, then demand will decrease with less than this, let's say that 1 good.

Hence; There are 9 goods being demanded at 12 per each. (Total Revenue = 108)

Let's increase the price more, so new price will be 14 and the quantity demanded at this price will be 8.

Now there are 8 goods being demanded at 14 per each. (Total Revenue = 112)

With the above example, we proved that with increase in price of inelastic good will increase the total revenue. I hope I could successfully transfer my idea and logic to you.

Question No: 6 (Marks: 1)

Which of the following is regarded as a general determinant of price elasticity of demand?

- ▶ Nature of the good (luxury versus necessity).
- ▶ Availability of close substitutes.
- ▶ Share of consumer's budget and passage of time.
- ▶ **All of the given options.**

Question No: 7 (Marks: 1)

The substitution effect of a wage increase will lead a person to:

- ▶ **Work more.**
- ▶ Take more leisure.
- ▶ Not change anything.
- ▶ None of the given options.

Question No: 8 (Marks: 1)

A production function:

- ▶ Relates inputs with output.
- ▶ Generates a curve that is upward sloping.

► Shows diminishing marginal product of an input, since it gets flatter as output rises.

► **All of the given options.**

Ref

A mathematical relation between the production of a good or service and the inputs used. A

production function is usually expressed in this general form: $Q = f(L, K)$, where Q = quantity of production output, L = quantity of labor input, and K = quantity of capital input. A production function is simply the relationship between inputs & outputs. (for reference of option 2 and 3 see page no 56 from soft copy)

Question No: 9 (Marks: 1)

If isoquants are straight lines, it means that:

- Only one combination of inputs is possible.
- There is constant returns to scale.
- **Inputs have fixed costs at all use rates.**
- The marginal rate of technical substitution of inputs is constant.

Question No: 10 (Marks: 1)

A firm maximizes profit by operating at the level of output where:

- Average revenue equals average cost.
- Average revenue equals average variable cost.
- Total costs are minimized.
- **Marginal revenue equals marginal cost.**

Question No: 11 (Marks: 1)

Producer surplus in a perfectly competitive industry is:

► **The difference between profit at the profit-maximizing and profit-minimizing level of output.**

- The difference between revenue and total cost.
- The difference between revenue and variable cost.
- The difference between revenue and fixed cost.

Question No: 12 (Marks: 1)

The good produced by a monopoly:

- Has perfect substitutes.
- **Has no substitutes at all.**
- Has no close substitutes.

- ▶ Can be easily duplicated.

Ref.

In Monopoly, firm is price maker. A monopoly or a firm within monopolistic competition that has the power to influence the price it charges as the good **it produces does not have perfect substitutes.** A monopoly is a price maker as it holds a large amount of power over the price it charges.(same reference for both questions)

Ref b

Monopoly is market structure in which there is only one producer of a product and every producer has identical/ differentiated production. Therefore, there is no substitutes for those goods exists at all. Examples include WAPDA.

Question No: 13 (Marks: 1)

A market with few entry barriers and with many firms that sell differentiated products is:

- ▶ Purely competitive.
- ▶ A monopoly.
- ▶ **Monopolistically competitive.**
- ▶ Oligopolistic.

Question No: 14 (Marks: 1)

Which of the following is true in long run equilibrium for a firm in a monopolistic competitive industry?

- ▶ The demand curve is tangent to marginal cost curve.
- ▶ The demand curve is tangent to average cost curve.
- ▶ **The marginal cost curve is tangent to average cost curve.**
- ▶ The demand curve is tangent to marginal revenue curve.

Question No: 15 (Marks: 1)

Which of the following best expresses the law of demand

- ▶ A higher price reduces demand.
- ▶ A lower price reduces demand.
- ▶ **A higher price reduces quantity demanded.**
- ▶ A lower price shifts the demand curve to the right.

Question No: 16 (Marks: 1)

You observe that the price of houses and the number of houses purchased both rise over the course of the year. You conclude that:

- ▶ The demand for houses has increased.
- ▶ **The demand curve for houses must be upward-sloping.**

- ▶ The supply of houses has increased.
- ▶ Housing construction costs must be decreasing.

Question No: 17 (Marks: 1)

Insurance companies operate under the principle of:

- ▶ **Law of large numbers.**
- ▶ Law of small numbers.
- ▶ Law of zero numbers.
- ▶ All of the given options.

Question No: 18 (Marks: 1)

If income elasticity is negative, the good is:

- ▶ Normal good.
- ▶ A substitute good.
- ▶ A complementary good.
- ▶ **Inferior good.**

Question No: 19 (Marks: 1)

In monopoly, which of the following is NOT true?

- ▶ Products are differentiated.
- ▶ **There is freedom of entry and exit into the industry in the long run.**
- ▶ The firm is a price maker.
- ▶ There is one main seller.

Question No: 20 (Marks: 1)

In the above figure, the marginal utility of income is:

- ▶ **Increasing as income increases.**
- ▶ Constant for all levels of income.
- ▶ Diminishes as income increases.
- ▶ None of the given options.

Question No: 21 (Marks: 1)

How many points you need to know to calculate the price elasticity of demand on the same demand curve?

- ▶ One.
- ▶ **Two.**
- ▶ Three.
- ▶ Four.

Question No: 22 (Marks: 1)

What is the assumption of constructing a production possibilities curve?

- ▶ Economic resources are underutilized.
- ▶ Resources are equally productive in many alternative uses.

- ▶ **All available resources are employed efficiently.**
- ▶ Production technology is allowed to vary.

Question No: 23 (Marks: 1)

Production possibilities curve will shift downward if there is:

- ▶ Immigration of skilled workers into the nation.
- ▶ An increase in the size of the working-age population.
- ▶ A decrease in the size of the working-age population.
- ▶ **Increased production of capital goods.**

Question No: 24 (Marks: 1)

Which of the following will happen if the current market price is set below the market clearing level?

- ▶ There will be a surplus to accumulate.
- ▶ **There will be downward pressure on the current market price.**
- ▶ There will be upward pressure on the current market price.
- ▶ There will be lower production during the next time period.

Question No: 25 (Marks: 1)

The total cost (TC) function is given as: $TC = 200 + 5Q$. What is the variable cost?

- ▶ **5Q.**
- ▶ 5.
- ▶ $5 + (200/Q)$.
- ▶ 200.

$TC = FC + VC$

Question No: 26 (Marks: 1)

If average physical product (APP) is decreasing then which of the following must be true?

- ▶ Marginal physical product is more than the average physical product.
- ▶ Marginal physical product is less than the average physical product.
- ▶ Marginal physical product is decreasing.
- ▶ **Marginal physical product is increasing.**

Question No: 27 (Marks: 1)

Which of the following statement describes decreasing returns to scale?

- ▶ Increasing the inputs by 1/4% leads to a 1/2% increase in output.
- ▶ **Increasing inputs by 1/2 leads to an increase in output of 1/6.**
- ▶ Doubling the inputs used leads to double the output.
- ▶ None of the given options.

Ref.

$1/2 > 1/6$

change in input > change in output -----> decreasing return to scale

Ref by imran ali

$1/2 = 50\%$ and $1/6 = 17\%$

In other words u can say that
Inputs ko 50% increase kiya magar output 50% increase nhi balkeh us se kam
(i.e. 17%) increase howa..... isay hum Decreasing return to scale hi kehtay
hain.....

Question No: 28 (Marks: 1)

All the factors of production become variable in:

- ▶ Law of increasing return.
- ▶ **Long run.**
- ▶ Law of decreasing cost.
- ▶ Short run.

Question No: 29 (Marks: 1)

Indifference curves that are concave to the origin reflect:

- ▶ An increasing marginal rate of substitution
- ▶ A decreasing marginal rate of substitution
- ▶ **A constant marginal rate of substitution**
- ▶ A marginal rate of substitution that first decreases then increases

Question No: 30 (Marks: 1)

The total cost (TC) function is given as $TC = 500 + 30Q$. What is the average total cost?

- ▶ 500
- ▶ **$30 + (500/Q)$**
- ▶ $30Q^2 + 500Q$
- ▶ 30

Ref.

becasue Average Cost is $TC/Q = (500 + 30Q)/Q = 30 + 500/Q$

Question No: 31 (Marks: 1)

Which of the following is not included in the key ingredients of any market structure?

- ▶ Number of firms in the market/industry
- ▶ Extent of barriers to entry
- ▶ **Perfect knowledge**
- ▶ Degree of control over price

Question No: 32 (Marks: 1)

At the profit-maximizing level of output, marginal cost equals to:

- ▶ Average revenue
- ▶ Total revenue

► **Marginal revenue**

- None of the given options

Question No: 33 (Marks: 1)

Monopolists produce lower quantities at higher prices compared to perfectly competitive firms, because monopolists do not produce where

- Marginal cost = marginal revenue
- Average revenue = marginal cost
- Price = average variable cost
- Price = marginal cost

Question No: 34 (Marks: 1)

An increase in quantity demand is shown by:

- Shifting the demand curve to the left.
- **Shifting the demand curve to the right.**
- Upward movement along the demand curve.
- Downward movement along the demand curve.

Ref.

increase in quantity demanded does not change the curve itself. We have to find point on curve for new price at new quantity.

Question No: 35 (Marks: 3)

Describe the profit-maximizing conditions that give answer to the following questions faced by any competitive business firm:

- a) How much output to produce?
- b) How to produce that output?

Question No: 36 (Marks: 5)

A. Derive the equation of budget line. Which part of the equation shows the slope and which part shows the intercept?

B. Which factors cause the shift in budget line and which cause the change in slope of budget line?

(Marks: 3+2)

Question No: 37 (Marks: 5)

How advertisement can affect a cartel's marginal cost and average revenue?

Paper # 03

Spring 2010

ECO401- Economics (Session - 5)

Time: 60 min

Marks: 47

Question No: 1 (Marks: 1)

Aslam decides to stay at home and study for his exam rather than going out with his friends to a movie. His dilemma is an example of:

- ▶ The economic perspective.
- ▶ Marginal analysis.
- ▶ Allocative efficiency.
- ▶ **Opportunity cost**

Question No: 2 (Marks: 1)

At the equilibrium price:

- ▶ There will be a shortage.
- ▶ **There will be neither a shortage nor a surplus.**
- ▶ There will be a surplus.
- ▶ There are forces that cause the price to change.

Question No: 3 (Marks: 1)

The price elasticity of demand measures the responsiveness of quantity demanded to:

- ▶ Quantity demanded.
- ▶ Quantity supplied.
- ▶ **Price.**
- ▶ Output.

Question No: 4 (Marks: 1)

We know that the demand for a product is elastic:

- ▶ When price rises, total revenue rises.
- ▶ **When price rises, total revenue falls.**
- ▶ When income rises, quantity demanded rises.
- ▶ When income falls, quantity demanded rises.

Question No: 5 (Marks: 1)

The law of diminishing marginal utility states:

- ▶ The supply curve slopes upward.
- ▶ **Your utility grows at a slower and slower rate as you consume more and more units of a good.**
- ▶ The elasticity of demand is infinite.
- ▶ None of the given options.

Question No: 6 (Marks: 1)

Consumers will maximize satisfaction when:

- ▶ The price of each good is exactly equal to the price of every other good consumed.

- ▶ The price of each good is exactly equal to the total utility derived from the consumption of every other good.
- ▶ **The marginal utility of the last dollar spent on each good is exactly equal to the marginal utility of the last dollar spent on any other good.**
- ▶ Marginal utility is equal to average utility.

Question No: 7 (Marks: 1)

Indifference curves that are convex to the origin reflect:

- ▶ An increasing marginal rate of substitution.
- ▶ **A decreasing marginal rate of substitution.**
- ▶ A constant marginal rate of substitution.
- ▶ A marginal rate of substitution that first decreases, then increases.

Question No: 8 (Marks: 1)

Suppose there are only two goods A and B, if more of good A is always preferred to less, and if less of good B is always preferred to more, then:

- ▶ Indifference curves slope downwards.
- ▶ **Indifference curves slope upwards.**
- ▶ Indifference curves may cross.
- ▶ Indifference curves could take the form of ellipses.

Question No: 9 (Marks: 1)

Increase in pension benefits leads to income and substitution effect which:

- ▶ Encourage workers to retire later.
- ▶ Encourage workers to work more hours.
- ▶ Have no effect on incentive to retire.
- ▶ **Encourage workers to retire earlier.**

Question No: 10 (Marks: 1)

Increasing returns to scale in production means:

- ▶ More than twice as much of only one input is required to double output.
- ▶ Isoquants must be linear.
- ▶ More than 10% as much of all inputs are required to increase output 10%.
- ▶ **Less than twice as much of all inputs are required to double output.**

Question No: 11 (Marks: 1)

In the short run, a firm should shut down when:

- ▶ Production losses are less than fixed costs.

► **Only normal profits are earned.**

- Production losses exceed fixed costs.
- Fixed costs are zero.

Question No: 12 (Marks: 1) - Please choose on

Second-degree price discrimination is the practice of charging:

- The reservation price to each customer.
- **Different prices for different blocks of the same good or service.**
- Different groups of customers different prices for the same products.
- Each customer the maximum price that he or she is willing to pay.

Question No: 13 (Marks: 1)

The market structure in which strategic considerations are most important is:

- **Monopolistic competition.**
- Oligopoly.
- Pure competition.
- Pure monopoly.

Question No: 14 (Marks: 1)

Which of the following best expresses the law of demand?

- A higher price reduces demand.
- A lower price reduces demand.
- **A higher price reduces quantity demanded.**
- A lower price shifts the demand curve to the right.

Question No: 15 (Marks: 1)

If a sales tax on beer leads to reduced tax revenue, this means:

- Elasticity of demand is < 1 .
- **Elasticity of demand is > 1 .**
- Demand is upward-sloping.
- Demand is perfectly inelastic.

ELASTIC DEMAND $E > 1$

• Price rises:

As P increases, Q decreases

Percentage change in P $<$ percentage change in Q. Now $TR = P \times Q$ TR will also decrease

Question No: 16 (Marks: 1)

The textbook for your class was not produced in a perfectly competitive industry because:

- There are so few firms in the industry that market shares are not small, and firm's decisions have an impact on market price.

- ▶ Upper-division microeconomics texts are not all alike.
- ▶ It is not costless to enter or exit the textbook industry.
- ▶ **All of the given options.**

Question No: 17 (Marks: 1)

Which of the following is true about supply curve under monopoly?

- ▶ It is same as the competitive market supply curve.
- ▶ It is the portion of marginal cost curve where marginal costs exceed the minimum value of average variable costs.
- ▶ **It is the result of market power and production costs.**
- ▶ None of the given statements is true.

Question No: 18 (Marks: 1)

If other things remaining the same, expected income can be used as a direct measure of well-being in which of the following situations?

- ▶ **It can be used no matter what a person's preference to risk.**
- ▶ It can be used if and only if individuals are not risk-loving.
- ▶ It can be used if and only if individuals are risk averse.
- ▶ It can be used if and only if individuals are risk neutral.

Question No: 19 (Marks: 1)

Which of the following will happen if the cost of computer components falls?

- ▶ **The demand curve for computers shifts to the right.**
- ▶ The demand curve for computers shifts to the left.
- ▶ The supply curve for computers shifts to the right.
- ▶ The supply curve for computers shifts to the left.

Question No: 20 (Marks: 1)

What will happen if there is an increase in the raw material costs, other things remaining the same?

- ▶ **The supply curve will shift to the left.**
- ▶ The supply curve will shift to the right.
- ▶ Output will increase regardless of the market price and the supply curve will shift upward.
- ▶ Output will decrease and the market price will also decrease.

Question No: 21 (Marks: 1)

Suppose the total utilities for the first four units of a good consumed are 13, 23, 33, and 43 respectively. What is the marginal utility of the third unit?

- ▶ **10.**
- ▶ 13.
- ▶ 20.
- ▶ 33.

Question No: 22 (Marks: 1)

Which of the following is TRUE for a Giffen good?

- ▶ Its marginal utility is zero.
- ▶ **Its demand curve is perfectly elastic.**
- ▶ Its substitution effect is positive.
- ▶ Its demand curve is positively sloped.

Question No: 23 (Marks: 1)

Which of the following occur when an isocost line is just tangent to an isoquant?

- ▶ **Output is being produced at minimum cost.**
- ▶ Output is not being produced at minimum cost.
- ▶ The two products are being produced at the medium input cost to the firm.
- ▶ The two products are being produced at the highest input cost to the firm.

Question No: 24 (Marks: 1)

Indifference curves that are concave to the origin reflect:

- ▶ **An increasing marginal rate of substitution**
- ▶ A decreasing marginal rate of substitution
- ▶ A constant marginal rate of substitution
- ▶ A marginal rate of substitution that first decreases then increases

Question No: 25 (Marks: 1)

What will happen to the isocost line if the price of both goods decreases proportionality?

- ▶ **It shifts farther away from the origin of the graph.**
- ▶ It shift inward.
- ▶ It shifts outward.
- ▶ None of the given options.

Question No: 26 (Marks: 1)

Average total costs are the sum of:

- ▶ Fixed costs and marginal costs
- ▶ Average variable costs and marginal costs
- ▶ **Average fixed costs and average variable costs**
- ▶ Average marginal costs and average variable costs

Question No: 27 (Marks: 1)

At the profit-maximizing level of output, the marginal cost is equal to:

- ▶ Average revenue
- ▶ Total revenue
- ▶ **Marginal revenue**
- ▶ None of the given options

Question No: 28 (Marks: 1)

The amount of output for maximum profit that a firm decides to sell has an effect on the market price in a monopolistic competitive industry because:

► **The firm supplies a different good than its rivals.**

- The firm's output is a considerable fraction of the entire industry's output.
- The short run market price is determined solely by the firm's technology.
- None of the given options.

Question No: 29 (Marks: 1)

When new firms enter in perfectly competitive industry for profits, the supply starts to:

► **Increase in response to demand.**

- Increase in response to price.
- Decrease in response to demand.
- Decrease in response to price.

Question No: 30 (Marks: 1)

Maximum number of firms in an oligopoly is about

- 2
- 10
- 15
- **20**

Question No: 31 (Marks: 1)

Resources are governed by both government and individuals in

- Dictatorship.
- Command or planned economy.
- **A mixed economy.**
- Capitalist economy.

Question No: 32 (Marks: 1)

The demand curve for eggs is downward-sloping. Suddenly the price of eggs decreases from Rs.60/- per dozen to Rs.50/- per dozen. This will cause:

- The demand curve for eggs to shift leftward.
- Quantity demanded of eggs to decrease.
- **The demand curve for eggs to shift rightward.**
- Quantity demanded of eggs to increase.

Question No: 33 (Marks: 1)

An increase in quantity demand is shown by:

- Shifting the demand curve to the left.
- **Shifting the demand curve to the right.**
- Upward movement along the demand curve.
- Downward movement along the demand curve.

Question No: 34 (Marks: 1)

If a 7% price reduction causes quantity demanded to rise by 10% then:

► **Demand is inelastic.**

- Demand is elastic.
- Demand is perfectly elastic.
- Total revenue will remain constant.

Question No: 35 (Marks: 3)

What is the key difference between the short run and the long run for the profit-maximizing firm?

Answer:

Demand tends to be more elastic in the long run rather than in the short run.

Short run is a period in which not all factors can adjust fully and therefore adjustment to shocks can only be partial.

Long run is a period over which all factors can be changed and full adjustment to shocks can take place.

In short run some prices, especially wages, are rigid and inflexible whereas in long run wages are flexible.

Question No: 36 (Marks: 5)

A. Why the firm experiences economies of scale and what will be the shape of long run average cost curve in this case?

B. Why the firm experiences diseconomies of scale and what will be the shape of long run average cost curve in this case?

(Marks: 2.5+2.5)

Question No: 37 (Marks: 5)

Define price taker firm and price maker firm. Also discuss in which type of market structures these firms exist?

Paper # 04

Spring 2010

ECO401- Economics (Session - 6)

Time: 60 min

Marks: 47

Question No: 1 (Marks: 1)

In pure capitalism, the role of government is best described as:

- Significant.
- Extensive.
- **Nonexistent.**
- Limited.

Question No: 2 (Marks: 1)

Ceteris paribus means:

- ▶ Equal access to public transportation.
- ▶ **Other things being equal.**
- ▶ Other things not being equal.
- ▶ All things considered.

Question No: 3 (Marks: 1)

While moving from left to right, the typical production possibilities curve has:

- ▶ **An increasingly steep negative slope.**
- ▶ A decreasingly steep negative slope.
- ▶ An increasingly steep positive slope.
- ▶ A constant and negative slope.

Question No: 4 (Marks: 1)

A market is said to be in equilibrium when:

- ▶ Demand equals output.
- ▶ There is downward pressure on price.
- ▶ **The amount consumers wish to buy at the current price equals the amount producers wish to sell at that price.**
- ▶ All buyers are able to find sellers willing to sell to them at the current price.

Question No: 5 (Marks: 1)

A demand curve is price inelastic when:

- ▶ **Changes in demand are proportionately smaller than changes in price.**
- ▶ Changes in demand are proportionately greater than changes in price.
- ▶ Changes in demand are equal to changes in price.
- ▶ None of the given options.

Question No: 6 (Marks: 1)

Which of the following will be TRUE if demand is inelastic?

- ▶ The coefficient of elasticity is greater than one.
- ▶ The percentage change in quantity demanded is same as the percentage change in the price.
- ▶ **An increase in price will increase total revenue.**
- ▶ None of the given options.

Question No: 7 (Marks: 1)

As more of a good is consumed, then total utility typically:

- ▶ **Increases at a decreasing rate.**
- ▶ Decreases as long as marginal utility is negative.
- ▶ Decreases as long as marginal utility is positive.
- ▶ Is negative as long as marginal utility is decreasing.

Question No: 8 (Marks: 1)

The numerical measurement of a consumer's preference is called:

- ▶ Use.

- ▶ Pleasure.
- ▶ **Utility.**
- ▶ Satisfaction.

Question No: 9 (Marks: 1)

Marginal utility is best described as:

- ▶ The total satisfaction gained from the total consumption of the good.
- ▶ **The change in satisfaction from consuming one additional unit of the good.**
- ▶ The additional satisfaction gained by consumption of the last good.
- ▶ The per unit satisfaction of the good consumed.

Question No: 10 (Marks: 1)

When the marginal utility of a good is zero, this implies that:

- ▶ **The consumer would not spend any additional income to buy more of that good.**
- ▶ Consumption of additional units would have positive marginal utility.
- ▶ Total utility is minimized.
- ▶ Total utility is also zero.

Question No: 11 (Marks: 1)

Suppose that the price of a pizza is \$10 and price of a jeans is \$30. If ratio of marginal utility of pizza to marginal utility of jeans is $\frac{1}{4}$ then to maximize total utility, a consumer should:

- ▶ Buy more pizzas and fewer jeans.
- ▶ **Buy fewer pizzas and more jeans.**
- ▶ Continue to buy the same quantities of pizza and jeans.
- ▶ Spend more time consuming pizza.

Question No: 12 (Marks: 1)

Which of the following is TRUE about price-consumption curve for good X?

- ▶ Nominal income falls as the price of X falls.
- ▶ The absolute price of X falls, but the relative price between X and the composite good Y stays the same.
- ▶ It is always downward sloping for a normal good.
- ▶ **It represents only those market baskets that are optimal for the given price ratio and preference pattern and therefore a demand curve can be plotted from it.**

Question No: 13 (Marks: 1)

A production function:

- ▶ **Relates inputs with output.**
- ▶ Generates a curve that is upward sloping.

- ▶ Shows diminishing marginal product of an input, since it gets flatter as output rises.
- ▶ All of the given options.

Question No: 14 (Marks: 1)

_____ arises when an increase in all inputs leads to a more-than-proportional increase in the level of output. _____ means that as inputs are added to the production process, output increases proportionally.

- ▶ **Economies of scale; constant returns to scale.**
- ▶ Constant returns to scale; decreasing returns to scale.
- ▶ Decreasing returns to scale; economies of scale.
- ▶ Economies of scale; decreasing returns to scale.

Question No: 15 (Marks: 1)

The budget line is the boundary between:

- ▶ Preferred and non preferred consumption combinations.
- ▶ **Affordable and unaffordable consumption combinations.**
- ▶ Income and expenditure.
- ▶ One point on a budget line.

Question No: 16 (Marks: 1)

Marginal profit is equal to:

- ▶ **Marginal revenue minus marginal cost.**
- ▶ Marginal revenue plus marginal cost.
- ▶ Marginal cost minus marginal revenue.
- ▶ Marginal revenue times marginal cost.

Question No: 17 (Marks: 1)

Revenue is equal to:

- ▶ Price times quantity.
- ▶ **Price times quantity minus total cost.**
- ▶ Price times quantity minus average cost.
- ▶ Price times quantity minus marginal cost.

Question No: 18 (Marks: 1)

A perfectly competitive firm maximizes profit by finding the level of production at which:

- ▶ **Price = Marginal Cost.**
- ▶ Price = Average Total Cost.
- ▶ Average Total Cost = Marginal Cost.
- ▶ Price < Marginal Cost.

Question No: 19 (Marks: 1)

When a firm charges each customer the maximum price that the customer is willing to pay, the firm:

- ▶ Engages in a discrete pricing strategy.
- ▶ Charges the average reservation price.
- ▶ Engages in second-degree price discrimination.
- ▶ **Engages in first-degree price discrimination.**

Question No: 20 (Marks: 1)

A market with few entry barriers and with many firms that sell differentiated products is:

- ▶ Purely competitive.
- ▶ A monopoly.
- ▶ **Monopolistically competitive.**
- ▶ Oligopolistic.

Question No: 21 (Marks: 1)

The textbook for your class was not produced in a perfectly competitive industry because:

- ▶ **There are so few firms in the industry that market shares are not small, and firm's decisions have an impact on market price.**
- ▶ Upper-division microeconomics texts are not all alike.
- ▶ It is not costless to enter or exit the textbook industry.
- ▶ All of the given options.

Question No: 22 (Marks: 1)

A person with a diminishing marginal utility of income is said to be:

- ▶ **Risk averse person.**
- ▶ Risk neutral person.
- ▶ Risk loving person.
- ▶ None of the given options.

Question No: 23 (Marks: 1)

Which of the following is TRUE in a planned economy?

- ▶ Goods and services produced reflect consumer sovereignty.
- ▶ **Price is relatively unimportant as a means of allocating resources.**
- ▶ There is no incentive for people to work hard.
- ▶ All income is completely evenly distributed.

Question No: 24 (Marks: 1)

What is the assumption of constructing a production possibilities curve?

- ▶ Economic resources are underutilized.
- ▶ Resources are equally productive in many alternative uses.
- ▶ **All available resources are employed efficiently.**
- ▶ Production technology is allowed to vary.

Question No: 25 (Marks: 1)

Suppose the total utilities for the first four units of a good consumed are 13, 23, 33, and 43 respectively. What is the marginal utility of the third unit?

- ▶ 10.
- ▶ 13.
- ▶ 20.
- ▶ 33.

Question No: 26 (Marks: 1)

The total cost (TC) function is given as: $TC = 200 + 5Q$. What is the fixed cost?

- ▶ 5Q.
- ▶ 5.
- ▶ $5 + (200/Q)$.
- ▶ 200.

$$TC = FC + VC$$

Question No: 27 (Marks: 1)

Which of the following is TRUE for the total cost of producing a given level of output?

- ▶ It is maximized when a corner solution exists.
- ▶ It is minimized when the ratio of marginal product to input price is equal for all inputs.
- ▶ It is minimized when the marginal products of all inputs are equal.
- ▶ It is minimized when marginal product multiplied by input price is equal for all inputs.

Question No: 28 (Marks: 1)

“Each firm produces an identical product and there is freedom of entry and exit”. This is TRUE for which of the following market structures?

- ▶ For monopoly.
- ▶ For oligopoly.
- ▶ For perfect competition.
- ▶ For monopolistic competition.

Question No: 29 (Marks: 1)

Usually, for electric sales, the electric power company uses block pricing strategy. It is an example of:

- ▶ First-degree price discrimination.
- ▶ Second-degree price discrimination.
- ▶ Third-degree price discrimination.
- ▶ Block pricing is not a type of price discrimination.

Question No: 30 (Marks: 1)

If average physical product (APP) is decreasing then which of the following must be true?

- ▶ Marginal physical product is more than the average physical product.
- ▶ **Marginal physical product is less than the average physical product.**
- ▶ Marginal physical product is decreasing.
- ▶ Marginal physical product is increasing.

Question No: 31 (Marks: 1)

Which of the following statement describes decreasing returns to scale?

- ▶ Increasing the inputs by 1/4% leads to a 1/2% increase in output.
- ▶ **Increasing inputs by 1/2 leads to an increase in output of 1/6.**
- ▶ Doubling the inputs used leads to double the output.
- ▶ None of the given options.

Question No: 32 (Marks: 1)

If different firms in the oligopolistic structures do not cooperate with each other is known as

- ▶ Collusive oligopoly.
- ▶ Cartel.
- ▶ Price leadership.
- ▶ **Non-collusive oligopoly.**

Question No: 33 (Marks: 1)

Consumers can make about the rational decision by using:

- ▶ Total utility and marginal utility approach.
- ▶ Income and consumption analysis.
- ▶ **Cost and benefit analysis.**
- ▶ Working hours and leisure time.

Question No: 34 (Marks: 1)

What might be the reason of a rightward shift in the demand curve for product X?

- ▶ An increase in income if X is a normal good.
- ▶ **A decrease in income if X is an inferior good.**
- ▶ An increase in the price of a product that is complementary to X.
- ▶ An increase in the price of a product that is substitute to X.

Question No: 35 (Marks: 3)

Why economists believe that when firms earn zero accounting profits, they actually earn normal economic profits?

Answer:

Economists believe that when firms earn zero accounting profits, they actually earn normal economic profits because TC already includes the normal profits that owners of the firms need for themselves to stay in the business. Positive profits are, for this reason, called supernormal profits as they are over and above what the owners normally require as a return for their entrepreneurship.

Profit = TR – TC

Question No: 36 (Marks: 5)

What are the two main theories of production regarding time?

Answer:

The two main theories of production regarding time are long run and short run.

Short run: Short run is a period of time in which some prices, especially wages, are rigid, inflexible, or otherwise in the process of adjusting.

Long run: It is a period of time in which all prices, especially wages, are flexible, and have achieved their equilibrium levels. In long run all inputs in the production process is variable.

Question No: 37 (Marks: 5)

Why marginal cost curve is not considered as supply curve in monopoly?

MC curve is not the supply curve of the firm as it is in the perfect competition.

Price is greater than MR in equilibrium. Therefore, price is not equal to MC.

As such, therefore, the supply curve for the firm is not the rising part of the MC curve.

Paper # 05

Spring 2010

ECO401- Economics (Session - 2)

Time: 60 min

M a r k s: 47

Question No: 1 (Marks: 1)

Which of the following is a normative statement?

- ▶ Intermediate microeconomics should be required of all economics majors in order to build a solid foundation in economic theory.
- ▶ The minimum wage should not be increased, because to do so would increase unemployment.
- ▶ Smoking should be restricted on all airline flights.
- ▶ **All of the given options.**

Explanation:

First three option subjective in nature and recommend some sort of line of action

(Intermediate microeconomics should be required ,The minimum wage should not be increased, Smoking should be restricted)

Normative Statements

Normative statements express an **opinion** about what ought to be. They are subjective statements rather than objective statements – i.e. they carry **value judgments**.

Taken from handouts

Normative economics is the branch of economics that **incorporates value judgments about what the economy should be like or what particular policy actions should be recommended to achieve a desirable goal.**

Question No: 2 (Marks: 1)

Ceteris paribus means:

- ▶ Equal access to public transportation.
- ▶ **Other things being equal.**
- ▶ Other things not being equal.
- ▶ All things considered.

Question No: 3 (Marks: 1)

An increase in supply is shown by:

- ▶ Shifting the supply curve to the left.
- ▶ **Shifting the supply curve to the right.**
- ▶ Upward movement along the supply curve.
- ▶ Downward movement along the supply curve.

Question No: 4 (Marks: 1)

Which of the following is calculated as the percentage change in quantity demanded of a given good with respect to the percentage change in the price of another good?

- ▶ Price elasticity of demand.
- ▶ Income elasticity of demand.
- ▶ **Cross price elasticity of demand.**
- ▶ Price elasticity of supply.

Question No: 5 (Marks: 1)

In order to calculate the price elasticity of supply, you need to know:

- ▶ **Two prices and two quantities supplied.**
- ▶ The slope of the supply curve.
- ▶ The equilibrium price and quantity in the market.
- ▶ The quantity supplied at two different prices, all else equal.

Question No: 6 (Marks: 1)

Which of the following is the term that economists use to describe how consumers rank different goods and services?

- ▶ **Satisfaction index.**
- ▶ Goodness.
- ▶ Utility.
- ▶ None of the given options.

Question No: 7 (Marks: 1)

If a consumer's marginal rate of substitution equals 2 eggs for 1 hamburger then:

- ▶ The consumer's indifference curve must be positively sloped.
- ▶ The consumer's indifference curve must be convex with respect to the origin of the graph.
- ▶ **The ratio of the consumer's marginal utility of 1 egg to that of 1 hamburger must equal $\frac{1}{2}$.**
- ▶ All of the given options.

Question No: 8 (Marks: 1)

As long as all prices remain constant, an increase in money income results in:

- ▶ An increase in the slope of the budget line.
- ▶ A decrease in the slope of the budget line.
- ▶ **An increase in the intercept of the budget line.**
- ▶ A decrease in the intercept of the budget line.

Question No: 9 (Marks: 1)

The income effect of a price change:

- ▶ Is always positive.
- ▶ Is always negative.
- ▶ **May be positive or negative.**
- ▶ Is associated with a change in nominal income.

Question No: 10 (Marks: 1)

Which of the following is considered to be a variable cost in the long run?

- ▶ Expenditures for wages.
- ▶ Expenditures for research and development.
- ▶ Expenditures for raw materials.
- ▶ **All of the given options.**

Question No: 11 (Marks: 1)

_____ arises when an increase in all inputs leads to a more-than-proportional increase in the level of output. _____ means that as inputs are added to the production process, output increases proportionally.

- ▶ **Economies of scale; constant returns to scale.**
- ▶ Constant returns to scale; decreasing returns to scale.
- ▶ Decreasing returns to scale; economies of scale.
- ▶ Economies of scale; decreasing returns to scale.

Question No: 12 (Marks: 1)

If isoquants are straight lines, it means that:

- ▶ Only one combination of inputs is possible.
- ▶ There is constant returns to scale.
- ▶ Inputs have fixed costs at all use rates.
- ▶ **The marginal rate of technical substitution of inputs is constant.**

Question No: 13 (Marks: 1)

Costs determine all of the following EXCEPT:

- ▶ **Demand for a product.**
- ▶ Firm's behaviour.
- ▶ How firms should expand?
- ▶ Firm's profitability.

Question No: 14 (Marks: 1)

At the profit-maximizing level of output, marginal profit:

- ▶ Is positive.
- ▶ **Is increasing.**
- ▶ Is zero.
- ▶ Is also maximized.

Question No: 15 (Marks: 1)

A perfectly competitive firm maximizes profit by finding the level of production at which:

- ▶ **Price = Marginal Cost.**
- ▶ Price = Average Total Cost.
- ▶ Average Total Cost = Marginal Cost.
- ▶ Price < Marginal Cost.

Question No: 16 (Marks: 1)

As compared to existing firms, a new firm entering in monopolist market has:

- ▶ **High costs.**
- ▶ Low costs.
- ▶ Equal costs.
- ▶ None of the given options.

Question No: 17 (Marks: 1)

Cartels are likely to fail when:

- ▶ The members adhere to their output quotas.
- ▶ The non-cartel members increase output.
- ▶ The members charge identical prices.
- ▶ None of the given options.

Question No: 18 (Marks: 1)

Which of the following best expresses the law of demand?

- ▶ A higher price reduces demand.

- ▶ A lower price reduces demand.
- ▶ **A higher price reduces quantity demanded.**
- ▶ A lower price shifts the demand curve to the right.

Question No: 19 (Marks: 1)

If the cross price elasticity of demand between two goods X and Y is positive; it means that goods are:

- ▶ Independent.
- ▶ Complements.
- ▶ **Substitutes.**
- ▶ Inferior.

Question No: 20 (Marks: 1)

If the income elasticity of demand is $1/2$, the good is:

- ▶ A luxury.
- ▶ **A normal good (but not a luxury).**
- ▶ An inferior good.
- ▶ A Giffen good.

Question No: 21 (Marks: 1)

If the demand curve for a good is downward sloping, then the good:

- ▶ Must be inferior.
- ▶ Must be giffen.
- ▶ **Can be normal or inferior.**
- ▶ Must be normal.

Question No: 22 (Marks: 1)

What is meant by freedom of enterprise in pure capitalism?

▶ **It means that businesses are free to produce products that consumers want.**

- ▶ It means that consumers are free to buy goods and services that they want.
- ▶ It means that resources are distributed freely to businesses.
- ▶ It means that government is free to direct the actions of businesses.

Question No: 23 (Marks: 1)

What questions are related with explanation? What questions are related with what ought to be?

- ▶ Positive, negative.
- ▶ Negative, normative.
- ▶ **Normative, positive.**
- ▶ Positive, normative.

Question No: 24 (Marks: 1)

Which of the following will happen if the current market price is set below the market clearing level?

► **There will be a surplus to accumulate.**

- There will be downward pressure on the current market price.
- There will be upward pressure on the current market price.
- There will be lower production during the next time period.

Question No: 25 (Marks: 1)

What is meant by the term utility?

- Useless.
- Require.
- Necessary.
- **Satisfaction.**

Question No: 26 (Marks: 1)

The total cost (TC) function is given as: $TC = 200 + 5Q$. What is the variable cost?

- $5Q$.
- 5.
- **$5 + (200/Q)$.**
- 200.

Question No: 27 (Marks: 1)

Which of the following is NOT included in the perfect information assumption of perfect competition?

- Consumers know their preferences.
- Consumers know their income levels.
- Consumers know the prices available.
- **Consumers can anticipate price changes.**

Question No: 28 (Marks: 1)

Which of the following is TRUE for third-degree price discrimination?

- **Charging different prices to different groups based upon differences in elasticity of demand.**
- Charging each consumer the same two part tariff.
- The use of increasing block rate pricing.
- Charging lower prices the greater the quantity purchased.

Question No: 29 (Marks: 1)

The government can regulate monopolies to ensure that they set a price where the AR curve intersects the

- **Marginal revenue curve.**
- Average variable cost.
- Marginal cost curve.
- None of the given options.

Question No: 30 (Marks: 1)

A reduced price may be offered if you buy two t-shirts instead of just one. This is an example of

- ▶ Perfect competition.
- ▶ First-degree price discrimination.
- ▶ Monopoly.
- ▶ **Second-degree price discrimination.**

Question No: 31 (Marks: 1)

When different prices are charged to customers who purchase different quantities, this is an example of

- ▶ **Second-degree price discrimination.**
- ▶ First-degree price discrimination.
- ▶ Monopoly.
- ▶ Perfect competition.

Question No: 32 (Marks: 1)

The demand curve for eggs is downward-sloping. Suddenly the price of eggs decreases from Rs.60/- per dozen to Rs.50/- per dozen. This will cause:

- ▶ The demand curve for eggs to shift leftward.
- ▶ Quantity demanded of eggs to decrease.
- ▶ **The demand curve for eggs to shift rightward.**
- ▶ Quantity demanded of eggs to increase.

Question No: 33 (Marks: 1)

Slope and elasticity of demand have

- ▶ A direct relation.
- ▶ **An inverse relationship.**
- ▶ No relation between slope and elasticity.
- ▶ None of the given options.

Question No: 34 (Marks: 1)

If you sum the marginal utilities obtained by consumption from one unit to five units of any commodity, you will get:

- ▶ **The marginal utility for the consumption of the fifth unit.**
- ▶ The marginal utility for the consumption of the sixth unit.
- ▶ The total utility for the consumption of the first five units.
- ▶ The average utility for the consumption of the first five units.

Question No: 35 (Marks: 3)

Why the monopolists produce lower quantities at higher prices compared to perfectly competitive firms?

Ans:

- 1) Large initial fixed cost is involved
- 2) Product differentiation or brand loyalty
- 3) Monopolistic controls the supply of key factors of production

Question No: 36 (Marks: 5)

Write down any five situations in which cartel can survive?

Ans:

- 1) Cartel can survive when number of firms is small.
- 2) When the collusion is tacit or hidden not explicit.
- 3) The products are homogeneous.
- 4) Industry is stable
- 5) There is opening among the firms regarding their production process.
- 6) Government's strictness in implementing antitrust law.

Question No: 37 (Marks: 5)

Differentiate between external economies of scale and external diseconomies of scale with the help of examples.

Ans:

External economies: These are the benefits which are accrued to any firm in the presence of other firms. For example setting of credit information bureaus by bank, advertising by industry such as rival industry.

Discovery of new techniques.

This type of economy occurs when an industry is heavily concentrated in a particular area.

Economies is available to all firms for example construction of roads

External diseconomies of scale :

These are the forces which causes the large firms to produce goods and services at increased per unit costs.

This type of scale occurs when an industry grows larger and shortage of skilled labor taking place and shortage of raw materials are the types of external diseconomies.

When a firm become large then supervision of workers become difficult and problem is created for management is taking place which cause adverse effect on efficiency.

Paper # 06

MIDTERM EXAMINATION

Spring 2009

ECO401- Economics (Session - 2)

Question No: 1 (Marks: 1) - Please choose one

An individual whose attitude towards risk is known as:

- ▶ **Risk averse.**
- ▶ Risk loving.
- ▶ Risk neutral.
- ▶ None of the given options.

Question No: 2 (Marks: 1) - Please choose one

The concept of a risk premium applies to a person that is:

- ▶ All of the given options.
- ▶ **Risk averse.**
- ▶ Risk neutral.
- ▶ Risk loving.

Question No: 3 (Marks: 1) - Please choose one

A normative economic statement

- ▶ Is a statement of fact.
- ▶ Is a hypothesis used to test economic theory.
- ▶ **Is a statement of what ought to be, not what is.**
- ▶ Is a statement of what will occur if certain assumptions are true.

Question No: 4 (Marks: 1) - Please choose one

Economics is different from other social sciences because it is primarily concerned with the study of _____, it is similar to other social sciences because they are all concerned with the study of _____.

- ▶ Limited resources, market behavior.
- ▶ Scarcity, human behavior.
- ▶ **Social behavior, limited resources.**
- ▶ Biological behavior, scarcity.

Question No: 5 (Marks: 1) - Please choose one

Because of the relationship between a perfectly competitive firm's demand curve and its marginal revenue curve, the profit maximization condition for the firm can be written as:

- ▶ $P = MR$.
- ▶ $P = AVC$.
- ▶ $AR = MR$.
- ▶ **$P = MC$.**

Question No: 6 (Marks: 1) - Please choose one

A welfare loss occurs in monopoly where:

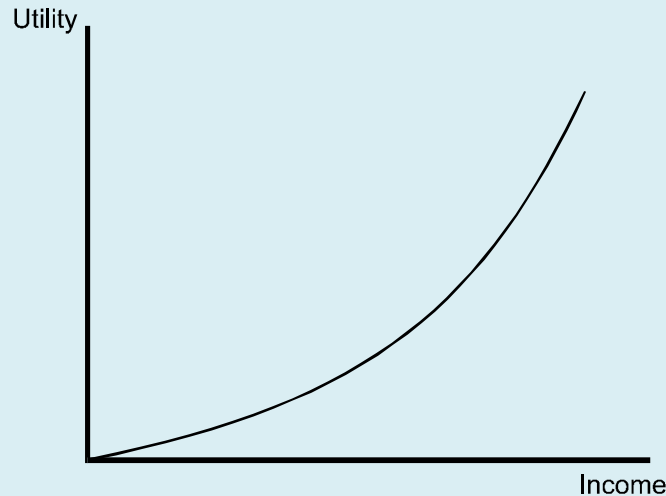
- ▶ **The price is greater than the marginal cost.**
- ▶ The price is greater than the marginal benefit.
- ▶ The price is greater than the average revenue.
- ▶ The price is greater than the marginal revenue.

Question No: 7 (Marks: 1) - Please choose one

The "perfect information" assumption of perfect competition includes all of the following EXCEPT:

- ▶ Consumers know their preferences.
- ▶ Consumers know their income levels.
- ▶ Consumers know the prices available.
- ▶ **Consumers can anticipate price changes.**

Question No: 8 (Marks: 1) - Please choose one



Figure

In figure given above, the marginal utility of income is:

- ▶ Increasing as income increases.
- ▶ Constant for all levels of income.
- ▶ **Diminishes as income increases.**
- ▶ None of the given options.

Question No: 9 (Marks: 1) - Please choose one

A consultant for Mattel (the producer of Barbie) reports that their long run average cost curve is decreasing. In other words, he is saying that:

- ▶ The firm has increasing returns to scale and the law of diminishing marginal productivity does not apply to this firm.
- ▶ The firm has decreasing returns to scale and the law of diminishing marginal productivity does not apply to this firm.
- ▶ **The firm has increasing returns to scale but the law of diminishing marginal productivity may still apply to this firm.**
- ▶ The firm has decreasing returns to scale but nonetheless the law of diminishing marginal productivity may still apply to this firm.

Question No: 10 (Marks: 1) - Please choose one

If the cross price elasticity of demand between two goods X and Y is positive; it means that goods are:

- ▶ Independent.
- ▶ Complements.

▶ **Substitutes.**

▶ Inferior.

Question No: 11 (Marks: 1) - Please choose one

A demand schedule is best described as:

▶ **A numerical tabulation of the quantity demanded of a good at different prices, ceteris paribus.**

▶ A graphical representation of the law of demand.

▶ A systematic listing of all the variables that might conceivably bring about a change in demand.

▶ A symbolic representation of the law of demand: P,Q and Q, P.

Question No: 12 (Marks: 1) - Please choose

Which of the following best expresses the law of demand?

▶ A higher price reduces demand.

▶ A lower price reduces demand.

▶ **A higher price reduces quantity demanded.**

▶ A lower price shifts the demand curve to the right.

Question No: 13 (Marks: 1) - Please choose one

Which of the following would most likely shift the production possibilities curve for a nation outward?

▶ A reduction in unemployment.

▶ An increase in the production of capital goods.

▶ A reduction in discrimination.

▶ **An increase in the production of consumer goods.**

Question No: 14 (Marks: 1) - Please choose

The primary use of the kinked-demand curve is to explain price rigidity in:

▶ **Oligopoly.**

▶ Monopoly.

▶ Perfect competition.

▶ Monopolistic competition.

Question No: 15 (Marks: 1) - Please choose one

A monopolistically competitive firm in short run equilibrium:

▶ Will make negative profit (lose money).

▶ Will make zero profit (break-even).

▶ Will make positive profit.

▶ **Any of the given are possible.**

Question No: 16 (Marks: 1) - Please choose

A market with few entry barriers and with many firms that sell differentiated products is:

- ▶ Purely competitive.
- ▶ A monopoly.
- ▶ Monopolistically competitive.
- ▶ **Oligopolistic.**

Question No: 17 (Marks: 1) - Please choose one

The maximum price that a consumer is willing to pay for a good is called:

- ▶ The reservation price.
- ▶ **The market price.**
- ▶ The first-degree price.
- ▶ The block price.

Question No: 18 (Marks: 1) - Please choose one

Third-degree price discrimination involves:

- ▶ Charging each consumer the same two part tariff.
- ▶ Charging lower prices the greater the quantity purchased.
- ▶ The use of increasing block rate pricing.
- ▶ **Charging different prices to different groups based upon differences in elasticity of demand.**

Question No: 19 (Marks: 1) - Please choose on

A tennis pro charges \$15 per hour for tennis lessons for children and \$30 per hour for tennis lessons for adults. The tennis pro is practicing:

- ▶ First-degree price discrimination.
- ▶ Second-degree price discrimination.
- ▶ **Third-degree price discrimination.**
- ▶ All of the given options.

Question No: 20 (Marks: 1) - Please choose

An electric power company uses block pricing for electricity sales. Block pricing is an example of:

- ▶ First-degree price discrimination.
- ▶ **Second-degree price discrimination.**
- ▶ Third-degree price discrimination.
- ▶ Block pricing is not a type of price discrimination.

Question No: 21 (Marks: 1) - Please choose on

A firm never operates:

- ▶ At the minimum of its average total cost curve.
- ▶ **At the minimum of its average variable cost curve.**
- ▶ On the downward-sloping portion of its average total cost curve.
- ▶ On the downward-sloping portion of its average variable cost curve.

Question No: 22 (Marks: 1) - Please choose one

Marginal profit is equal to:

- ▶ **Marginal revenue minus marginal cost.**
- ▶ Marginal revenue plus marginal cost.
- ▶ Marginal cost minus marginal revenue.
- ▶ Marginal revenue times marginal cost.

Question No: 23 (Marks: 1) - Please choose

If current output is less than the profit-maximizing output then which of the following must be TRUE?

- ▶ Total revenue is less than total cost.
- ▶ Average revenue is less than average cost.
- ▶ Marginal revenue is less than marginal cost.
- ▶ **Marginal revenue is greater than marginal cost.**

Question No: 24 (Marks: 1) - Please choose

At the profit-maximizing level of output, what is TRUE of the total revenue (TR) and total cost (TC) curves?

- ▶ **They must intersect with TC cutting TR from below.**
- ▶ They must intersect with TC cutting TR from above.
- ▶ They must be tangent to each other.
- ▶ They must have the same slope.

Question No: 25 (Marks: 1) - Please choose one

The total cost (TC) of producing computer software diskettes (Q) is given as: $TC = 200 + 5Q$. What is the average total cost?

- ▶ $5Q$.
- ▶ 5.
- ▶ $5 + (200/Q)$.
- ▶ **None of the given options.**

Question No: 26 (Marks: 1) - Please choose one

In order for a taxicab to be operated in New York City, it must have a medallion on its hood. Medallions are expensive but can be resold and are therefore an example of:

- ▶ A fixed cost.
- ▶ A variable cost.
- ▶ An implicit cost.
- ▶ **An opportunity cost.**

Question No: 27 (Marks: 1) - Please choose one

Costs determine all of the following EXCEPT:

- ▶ **Demand for a product.**
- ▶ Firm's behaviour.
- ▶ How firms should expand?

- ▶ Firm's profitability.

Question No: 28 (Marks: 1) - Please choose one

The rate at which a firm can substitute capital for labour and hold output constant is the:

- ▶ Law of diminishing marginal returns.
- ▶ Marginal rate of substitution.
- ▶ **Marginal rate of factor substitution.**
- ▶ Marginal rate of production.

Question No: 29 (Marks: 1) - Please choose one

If a simultaneous and equal percentage decrease in the use of all physical inputs leads to a larger percentage decrease in physical output, a firm's production function is said to exhibit:

- ▶ **Decreasing returns to scale.**
- ▶ Constant returns to scale.
- ▶ Increasing returns to scale.
- ▶ Diseconomies of scale.

Question No: 30 (Marks: 1) - Please choose one

At any given point on an indifference curve, the absolute value of the slope equals:

- ▶ Unity--otherwise there would be no indifference.
- ▶ **The marginal rate of substitution.**
- ▶ The consumer's marginal utility.
- ▶ None of the given options.

Question No: 31 (Marks: 1) - Please choose one

Aslam spends all of his money on racquetballs and food. What would happen to Aslam's budget line if his income increased by 10 percent holding prices constant?

- ▶ It would shift inward.
- ▶ It would rotate about the axis for food.
- ▶ It would rotate about the axis for racquetballs.
- ▶ **It would shift outward.**

Question No: 32 (Marks: 1) - Please choose one

According to the utility model of consumer demand, the law of diminishing marginal utility indicates that the demand curve is:

- ▶ Vertical.
- ▶ U-shaped.
- ▶ Upward-sloping.
- ▶ **Downward-sloping.**

Question No: 33 (Marks: 1) - Please choose one

Cross-price elasticity measures whether:

- ▶ Goods are normal or inferior.
- ▶ **Two goods are substitutes or complements.**

- ▶ Demand is elastic or inelastic.
- ▶ Supply is steeper than demand or vice versa.

Question No: 34 (Marks: 1) - Please choose one

Which of the following will be TRUE if demand is inelastic?

- ▶ The coefficient of elasticity is greater than one.
- ▶ The percentage change in quantity demanded is same as the percentage change in the price.
- ▶ **An increase in price will increase total revenue.**
- ▶ None of the given options.

Question No: 35 (Marks: 1) - Please choose one

Suppose your local public golf course increases the greens fees for using the course. If the demand for golf is relatively inelastic, you would expect:

- ▶ A decrease in total revenue received by the course.
- ▶ **An increase in total revenue received by the course.**
- ▶ No change in total revenue received by the course.
- ▶ An increase in the amount of golf played on the course.

Question No: 36 (Marks: 1) - Please choose one

Aslam decides to stay at home and study for his exam rather than going out with his friends to a movie. His dilemma is an example of:

- ▶ The economic perspective.
- ▶ Marginal analysis.
- ▶ Allocative efficiency.
- ▶ **Opportunity cost.**

Question No: 37 (Marks: 1) - Please choose one

Government authorities have managed to reduce the unemployment rate from 8% to 4% in a hypothetical economy. As a result:

- ▶ The economy's production possibilities curve will shift outward.
- ▶ The economy's production possibilities curve will become steeper.
- ▶ The economy will move downward along its production possibilities curve.
- ▶ **The economy will move from a point inside to a point closer to its production possibilities curve.**

Question No: 38 (Marks: 1) - Please choose one

Land is best described as:

- ▶ Produced factors of production.
- ▶ "Organizational" resources.
- ▶ Physical and mental abilities of people.
- ▶ **"Naturally" occurring resources.**

Question No: 39 (Marks: 1) - Please choose one

In pure capitalism, the role of government is best described as:

- ▶ Significant.
- ▶ Extensive.
- ▶ **Nonexistent.**

- Limited.

Question No: 40 (Marks: 1) - Please choose

Microeconomics is the branch of economics that deals with which of the following topics?

- The behavior of individual consumers.
- Unemployment and interest rates.
- The behavior of individual firms and investors.

► The behavior of individual consumers and behavior of individual firms and investors.

Question No: 41 (Marks: 10)

A.

Define “Law of supply” and explain it with a schedule and diagram.

B. What are the factors which cause the shift in market supply curve?

(Marks: 6+4)

ANSWER: LAW OF SUPPLY: It states that as the price goes up the quantity supplied also goes up and when price falls quantity supplied also falls.

Schedule for Supply:

Price (Rs.)	Quantity supplied
5	100
4	95
3	80
2	60
1	40

Factors Causing Shift in Supply Curve:

There are various factors causing shift in market supply curve which are as follows:

Factors changing supply	Effect on supply	Direction of Shift in supply	Equilibrium Price	Equilibrium quantity
Increase in number of suppliers	Increase	Rightward shift	Decrease	Increase
Decrease in number of suppliers	Decrease	Leftward shift	Increase	Decrease
Improved technology	Increase	Rightward shift	Decrease	Increase
Declined technology	Decrease	Leftward shift	Increase	Decrease
Increase in future price	Decrease	Leftward shift	Increase	Decrease
Decrease in future price	Increase	Rightward shift	Decrease	Increase
Increase in	Decrease	Leftward shift	Increase	Decrease

resources' price				
Decrease in resources' price	Increase	Rightward shift	Decrease	Increase

Paper # 07

Fall 2009

ECO401- Economics (Session - 3)

Time: 60 min

Marks: 50

Question No: 1 (Marks: 1) - Please choose one

Which of the following is a positive statement?

- ▶ When the price of a good goes up, consumers buy less of it.
- ▶ When the price of a good goes up, firms produce more of it.
- ▶ When the Federal government sells bonds, interest rates rise and private investment is reduced.

▶ **All of the given options.**

Question No: 2 (Marks: 1) - Please choose one

In a free-market economy, the allocation of resources is determined by:

- ▶ Votes taken by consumers.
- ▶ A central planning authority.
- ▶ **Consumer preferences.**
- ▶ The level of profits of firms.

Question No: 3 (Marks: 1) - Please choose

If both supply and demand increase simultaneously, the equilibrium:

- ▶ Price must rise and the equilibrium quantity must fall.
- ▶ **Price must rise and the equilibrium quantity may either rise or fall.**
- ▶ Quantity must rise and the equilibrium price may either rise or fall.
- ▶ Price must fall and the equilibrium quantity may either rise or fall.

Question No: 4 (Marks: 1) - Please choose one

The price elasticity of demand measures the responsiveness of quantity demanded to:

- ▶ Quantity demanded.
- ▶ Quantity supplied.
- ▶ **Price.**
- ▶ Output.

Question No: 5 (Marks: 1) - Please choose

Since the fish that are caught each day go bad very quickly, the daily catch will be offered for sale no matter what price it brings. As a result, we know that:

- ▶ None of the given options.

- ▶ The daily supply curve for fish slopes upward.
- ▶ **The daily supply curve for fish is perfectly inelastic.**
- ▶ The daily supply curve for fish is perfectly elastic.

Question No: 6 (Marks: 1) - Please choose one

There are several close substitutes for Bayer aspirin but fewer substitutes for a complete medical examination. Therefore, you would expect the demand for:

- ▶ **Both to be equally elastic.**
- ▶ Both to be equally inelastic.
- ▶ Medical exams to be more elastic.
- ▶ Medical exams to be more inelastic.

Question No: 7 (Marks: 1) - Please choose

Suppose your local public golf course increases the greens fees for using the course. If the demand for golf is relatively inelastic, you would expect:

- ▶ A decrease in total revenue received by the course.
- ▶ An increase in total revenue received by the course.
- ▶ No change in total revenue received by the course.
- ▶ **An increase in the amount of golf played on the course.**

Question No: 8 (Marks: 1) - Please choose one

Which of the following will be TRUE if demand is inelastic?

- ▶ The coefficient of elasticity is greater than one.
- ▶ The percentage change in quantity demanded is same as the percentage change in the price.
- ▶ **An increase in price will increase total revenue.**
- ▶ None of the given options.

Question No: 9 (Marks: 1) - Please choose one

Which of the following is regarded as a general determinant of price elasticity of demand?

- ▶ Nature of the good (luxury versus necessity).
- ▶ **Availability of close substitutes.**
- ▶ Share of consumer's budget and passage of time.
- ▶ All of the given options.

Question No: 10 (Marks: 1) - Please choose one

As more of a good is consumed, then total utility typically:

- ▶ **Increases at a decreasing rate.**
- ▶ Decreases as long as marginal utility is negative.
- ▶ Decreases as long as marginal utility is positive.
- ▶ Is negative as long as marginal utility is decreasing.

Question No: 11 (Marks: 1) - Please choose one

When the marginal utility of a good is zero, this implies that:

► **The consumer would not spend any additional income to buy more of that good.**

- Consumption of additional units would have positive marginal utility.
- Total utility is minimized.
- Total utility is also zero.

Question No: 12 (Marks: 1) - Please choose one

Law of diminishing marginal utility indicates that the slope of the marginal utility curve is:

- Horizontal.
- **Vertical.**
- Negative.
- Positive.

Question No: 13 (Marks: 1) - Please choose one

Aslam spends all of his money on racquetballs and food. What would happen to Aslam's budget line if his income increased by 10 percent holding prices constant?

- It would shift inward.
- It would rotate about the axis for food.
- It would rotate about the axis for racquetballs.
- **It would shift outward.**

Question No: 14 (Marks: 1) - Please choose one

As long as all prices remain constant, an increase in money income results in:

- **An increase in the slope of the budget line.**
- A decrease in the slope of the budget line.
- An increase in the intercept of the budget line.
- A decrease in the intercept of the budget line.

Question No: 15 (Marks: 1) - Please choose one

The substitution effect of a wage increase will lead a person to:

- **Work more.**
- Take more leisure.
- Not change anything.
- None of the given options.

Question No: 16 (Marks: 1) - Please choose one

Assume Leisure is a normal good. If income effect exceeds substitution effect then a wage decrease will lead a person to:

- **Decrease hours of work.**
- Increase hours of work.
- Not change anything.
- All of the given options.

Question No: 17 (Marks: 1) - Please choose

Which of the following statements about indifference curves is NOT correct?

- ▶ Indifference curves are generally negatively sloped.
- ▶ Without utility being quantifiable we can say that one indifference curve is higher than (or preferred to) another but we cannot say by how much.
- ▶ Two indifference curves cannot intersect unless they are identical throughout.
- ▶ **Two different indifference curves can intersect but only once.**

Question No: 18 (Marks: 1) - Please choose one

A normal good can be defined as one which consumers purchase more of as:

- ▶ Prices fall.
- ▶ Prices rise.
- ▶ Incomes fall.
- ▶ **Incomes increase.**

Question No: 19 (Marks: 1) - Please choose one

When the substitution effect of a lowered price is counteracted by the income effect, the good in question is:

- ▶ An inferior good.
- ▶ **A substitute good.**
- ▶ An independent good.
- ▶ A normal good.

Question No: 20 (Marks: 1) - Please choose one

Which of the following is most likely to be a fixed input in the short run for a Garage owner?

- ▶ The grease used to lubricate cars.
- ▶ The part-time labor employed to repair cars.
- ▶ The electricity used to heat and light the garage.
- ▶ **The garage used to repair cars.**

Question No: 21 (Marks: 1) - Please choose one

Ali initially leased one-room space and started a small day care centre with only 4 children and one staff member. But he found that the cost per child is very high. He wants to expand the centre. Which of the following will happen when Ali expand the centre?

- ▶ Economies of scale.
- ▶ Diseconomies of scale.
- ▶ Decreasing returns to the labor inputs.
- ▶ **Increasing returns to the labor inputs.**

Question No: 22 (Marks: 1) - Please choose one

Which of the following is considered to be a variable cost in the long run?

- ▶ Expenditures for wages.
- ▶ Expenditures for research and development.
- ▶ Expenditures for raw materials.
- ▶ **All of the given options.**

Question No: 23 (Marks: 1) - Please choose one

What will happen to the isocost line if the price of both goods increases?

- ▶ It shift farther away from the origin of the graph.
- ▶ It shift inward, closer to the origin.
- ▶ It vanishes.
- ▶ **It undergoes no change.**

Question No: 24 (Marks: 1) - Please choose one

Total costs are the sum of:

- ▶ Marginal costs and variable costs.
- ▶ **Fixed costs and variable costs.**
- ▶ Fixed costs and marginal costs.
- ▶ Average variable costs and marginal costs.

Question No: 25 (Marks: 1) - Please choose one

The total cost of producing a given level of output is:

- ▶ Maximized when a corner solution exists.
- ▶ Minimized when the ratio of marginal product to input price is equal for all inputs.
- ▶ Minimized when the marginal products of all inputs are equal.
- ▶ **Minimized when marginal product multiplied by input price is equal for all inputs.**

Question No: 26 (Marks: 1) - Please choose one

The long-run average total cost curve:

- ▶ **Traces out the points on the lowest short-run average total cost curve for each level of production.**
- ▶ Is inversely related to the depth of the short-run marginal cost curve.
- ▶ Traces out the midpoints on an average of several short-run average total cost curves.
- ▶ Is downward-sloping under decreasing returns to scale.

Question No: 27 (Marks: 1) - Please choose one

To find the profit maximizing level of output, a firm finds the output level where:

- ▶ Price equals marginal cost.
- ▶ **Marginal revenue and average total cost.**
- ▶ Price equals marginal revenue.
- ▶ None of the given options.

Question No: 28 (Marks: 1) - Please choose one

In which market structure, each firm produces an identical product and there is freedom of entry and exit?

- ▶ Monopoly.
- ▶ Oligopoly.

► **Perfect competition.**

- Monopolistic competition.

Question No: 29 (Marks: 1) - Please choose one

The monopoly supply curve is the:

► **Same as the competitive market supply curve.**

- Portion of marginal costs curve where marginal costs exceed the minimum value of average variable costs.
- Result of market power and production costs.
- None of the given options.

Question No: 30 (Marks: 1) - Please choose one

Compared to the equilibrium price and quantity sold in a competitive market, a monopolist will charge a _____ price and sell a _____ quantity.

- Higher; larger.
- **Lower; larger.**
- Higher; smaller.
- Lower; smaller.

Question No: 31 (Marks: 1) - Please choose one

In monopolist market, a new entrant firm should produce where:

- Marginal Cost < Marginal Revenue.
- Marginal Cost > Marginal Revenue.
- **Marginal Cost = Marginal Revenue.**
- Marginal Cost = Average Revenue.

Question No: 32 (Marks: 1) - Please choose one

A market with few entry barriers and with many firms that sell differentiated products is:

- Purely competitive.
- A monopoly.
- Monopolistically competitive.
- **Oligopolistic.**

Question No: 33 (Marks: 1) - Please choose one

Which of the following is true in long run equilibrium for a firm in a monopolistic competitive industry?

- The demand curve is tangent to marginal cost curve.
- The demand curve is tangent to average cost curve.
- The marginal cost curve is tangent to average cost curve.
- **The demand curve is tangent to marginal revenue curve.**

Question No: 34 (Marks: 1) - Please choose one

Cartels are likely to fail when:

- The members adhere to their output quotas.

► **The non-cartel members increase output.**

- The members charge identical prices.
- None of the given options.

Question No: 35 (Marks: 1) - Please choose one

A schedule which shows the various amounts of a product consumers are willing and able to purchase at each price in a series of possible prices during a specified period of time is called:

- Supply schedule.
- Demand schedule.
- Quantity supplied schedule.

► **Quantity demanded schedule.**

Question No: 36 (Marks: 1) - Please choose one

Which of the following best expresses the law of demand?

► **A higher price reduces demand.**

- A lower price reduces demand.
- A higher price reduces quantity demanded.
- A lower price shifts the demand curve to the right.

Question No: 37 (Marks: 1) - Please choose one

Which of the following is considered a market structure?

- Monopoly.
- Perfect competition.
- Oligopoly.

► **All of the given are considered market structures.**

Question No: 38 (Marks: 1) - Please choose one

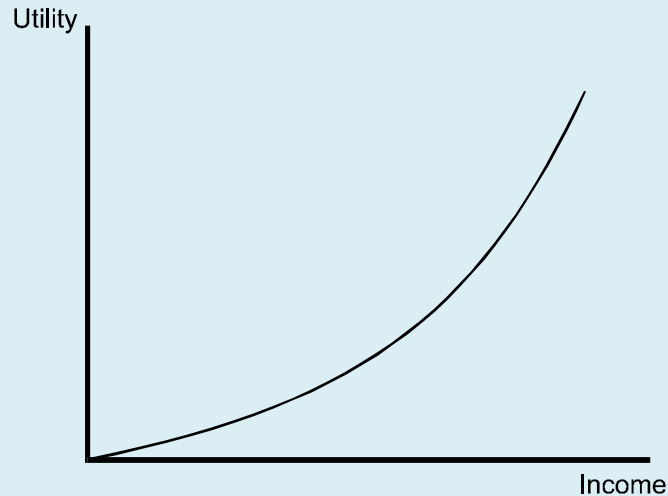
If income elasticity is negative, the good is:

- Normal good.
- A substitute good.

► **A complementary good.**

- Inferior good.

Question No: 39 (Marks: 1) - Please choose one



Figure

In figure given above, the marginal utility of income is:

- ▶ Increasing as income increases.
- ▶ Constant for all levels of income.
- ▶ **Diminishes as income increases.**
- ▶ None of the given options.

Question No: 40 (Marks: 1) - Please choose one

The amount of output that a firm decides to sell has no effect on the market price in a competitive industry because:

- ▶ The market price is determined (through regulation) by the government.
- ▶ The firm supplies a different good than its rivals.
- ▶ The firm's output is a small fraction of the entire industry's output.
- ▶ **The short run market price is determined solely by the firm's technology.**

Question No: 41 (Marks: 10)

The following table shows the total utility that an individual receives from consuming various units of a commodity X.

Q _x	TU _x
1	56
2	104
3	144
4	176
5	200
6	216
7	224
8	224

- a) Calculate Marginal Utility (MU) at each level.
- b) What is the individual's saturation point for commodity X?
- c) If the price of commodity X is \$8 then calculate the consumer surplus at each level.

(Marks: 3.5+3+3.5)

Paper # 08

Fall 2009

ECO401- Economics (Session - 4)

Time: 60 min Marks: 50

Question No: 1 (Marks: 1) - Please choose one

Land is best described as:

- ▶ Produced factors of production.
- ▶ "Organizational" resources.
- ▶ Physical and mental abilities of people.
- ▶ **"Naturally" occurring resources.**

Question No: 2 (Marks: 1) - Please choose one

While moving from left to right, the typical production possibilities curve has:

- ▶ An increasingly steep negative slope.
- ▶ A decreasingly steep negative slope.

► **An increasingly steep positive slope.**

► A constant and negative slope.

Question No: 3 (Marks: 1) - Please choose one

When government sets the price of a good and that price is above the equilibrium price, the result will be:

► **A surplus of the good.**

► A shortage of the good.

► An equilibrium.

► None of the given options.

Question No: 4 (Marks: 1) - Please choose one

If pen and ink are complements, then an increase in the price of pen will cause:

► An increase in the price of ink.

► **Less ink to be demanded at each price.**

► A decrease in the demand for pen.

► A rightward shift in the demand curve for ink.

Question No: 5 (Marks: 1) - Please choose one

An increase in supply is shown by:

► Shifting the supply curve to the left.

► **Shifting the supply curve to the right.**

► Upward movement along the supply curve.

► Downward movement along the supply curve.

Question No: 6 (Marks: 1) - Please choose one

When an industry's raw material costs increase, other things remaining the same:

- ▶ The supply curve shifts to the right.
- ▶ Output increases regardless of the market price and the supply curve shifts upward.

▶ Output decreases and the market price also decrease.

- ▶ The supply curve shifts to the left.

Question No: 7 (Marks: 1) - Please choose one

Sugar can be refined from sugar beets. When the price of those beets falls:

- ▶ The demand curve for sugar would shift right.
- ▶ The demand curve for sugar would shift left.

▶ The supply curve for sugar would shift right.

- ▶ The supply curve for sugar would shift left.

Question No: 8 (Marks: 1) - Please choose one

The price elasticity of demand measures the responsiveness of quantity demanded to:

- ▶ Quantity demanded.
- ▶ Quantity supplied.

▶ Price.

- ▶ Output.

Question No: 9 (Marks: 1) - Please choose one

Since the fish that are caught each day go bad very quickly, the daily catch will be offered for sale no matter what price it brings. As a result, we know that:

- ▶ None of the given options.
- ▶ The daily supply curve for fish slopes upward.

► **The daily supply curve for fish is perfectly inelastic.**

► The daily supply curve for fish is perfectly elastic.

Question No: 10 (Marks: 1) - Please choose one

In order to calculate the price elasticity of supply, you need to know:

► **Two prices and two quantities supplied.**

► The slope of the supply curve.

► The equilibrium price and quantity in the market.

► The quantity supplied at two different prices, all else equal.

Question No: 11 (Marks: 1) - Please choose one

Suppose the first four units of an output produced incur corresponding total costs of 50, 150, 300, and 500. The marginal cost of the second unit of output is:

► 50.

► **100.**

► 150.

► 200.

Question No: 12 (Marks: 1) - Please choose one

Law of diminishing marginal utility indicates that the slope of the marginal utility curve is:

► Horizontal.

► Vertical.

► **Negative.**

► Positive.

Question No: 13 (Marks: 1) - Please choose one

Assume that the total utilities for the fifth and sixth units of a good consumed are 83 and 97, respectively. The marginal utility for the sixth unit is:

► -14.

► 14.

► 83.

► 97.

Question No: 14 (Marks: 1) - Please choose one

Suppose that the price of a pizza is \$10 and price of a jeans is \$30. If ratio of marginal utility of pizza to marginal utility of jeans is $\frac{1}{4}$ then to maximize total utility, a consumer should:

► Buy more pizzas and fewer jeans.

► Buy fewer pizzas and more jeans.

► Continue to buy the same quantities of pizza and jeans.

► Spend more time consuming pizza.

Question No: 15 (Marks: 1) - Please choose one

Which of the following is NOT an assumption of ordinal utility analysis?

► Consumers are consistent in their preferences.

► Consumers can measure the total utility received from any given basket of good.

► Consumers are non-satiated with respect to the goods they confront.

► All of the given options are true.

Question No: 16 (Marks: 1) - Please choose one

Assume leisure is a normal good. If income effect equals substitution effect then a wage rate increase will lead a person to:

► Increase hours of work.

► **Decrease hours of work.**

- Not change hours of work.
- None of the given options.

Question No: 17 (Marks: 1) - Please choose one

Ali initially leased one-room space and started a small day care centre with only 4 children and one staff member. But he found that the cost per child is very high. He wants to expand the centre. Which of the following will happen when Ali expand the centre?

► **Economies of scale.**

- Diseconomies of scale.
- Decreasing returns to the labor inputs.
- Increasing returns to the labor inputs.

Question No: 18 (Marks: 1) - Please choose one

A graph showing all the combinations of capital and labour available for a given total cost is the:

- Budget constraint.
- Expenditure set.
- Isoquant.

► **Isocost.**

Question No: 19 (Marks: 1) - Please choose one

An isoquant curve shows:

► **All the alternative combinations of two inputs that yield the same maximum total product.**

- All the alternative combinations of two products that can be produced by using a given set of inputs fully and in the best possible way.

► All the alternative combinations of two products among which a producer is indifferent because they yield the same profit.

► None of the given options.

Question No: 20 (Marks: 1) - Please choose one

L-shaped isoquant:

► **Indicate that capital and labor cannot be substituted for each other in production.**

► Is impossible.

► Indicate that the firm could switch from one output to another costlessly.

► Indicate that the firm could not switch from one output to another.

Question No: 21 (Marks: 1) - Please choose one

Costs determine all of the following EXCEPT:

► **Demand for a product.**

► Firm's behaviour.

► How firms should expand?

► Firm's profitability.

Question No: 22 (Marks: 1) - Please choose one

Total costs are the sum of:

► Marginal costs and variable costs.

► **Fixed costs and variable costs.**

► Fixed costs and marginal costs.

► Average variable costs and marginal costs.

Question No: 23 (Marks: 1) - Please choose one

To find the profit maximizing level of output, a firm finds the output level where:

- ▶ Price equals marginal cost.
- ▶ Marginal revenue and average total cost.
- ▶ Price equals marginal revenue.

▶ **None of the given options.**

Question No: 24 (Marks: 1) - Please choose one

The good produced by a monopoly:

- ▶ Has perfect substitutes.

▶ **Has no substitutes at all.**

- ▶ Has no close substitutes.
- ▶ Can be easily duplicated.

Question No: 25 (Marks: 1) - Please choose one

A perfectly competitive firm maximizes profit by finding the level of production at which:

▶ **Price = Marginal Cost.**

- ▶ Price = Average Total Cost.
- ▶ Average Total Cost = Marginal Cost.
- ▶ Price < Marginal Cost.

Question No: 26 (Marks: 1) - Please choose one

The monopolist has no supply curve because:

▶ **The quantity supplied at any particular price depends on the monopolist's demand curve.**

- ▶ The monopolist's marginal cost curve changes considerably over time.

► The relationship between price and quantity depends on both marginal cost and average cost.

► Although there is only a single seller at the current price, it is impossible to know how many sellers would be in the market at higher prices.

Question No: 27 (Marks: 1) - Please choose one

In monopoly, which of the following is TRUE at the output level, where price = marginal cost?

► **The monopolist is maximizing profit.**

- The monopolist is not maximizing profit and should increase output.
- The monopolist is not maximizing profit and should decrease output.
- The monopolist is earning a positive profit.

Question No: 28 (Marks: 1) - Please choose one

Following are the disadvantages of monopoly EXCEPT:

- Monopolists earn higher profits.

► **Monopolists produce high quality goods at higher prices.**

- Most of the “surplus” (producer + consumer surplus) accrues to monopolists.
- Monopolists do not pay sufficient attention to increasing efficiency.

Question No: 29 (Marks: 1) - Please choose one

When a firm charges each customer the maximum price that the customer is willing to pay, the firm:

- Engages in a discrete pricing strategy.
- Charges the average reservation price.
- Engages in second-degree price discrimination.

► **Engages in first-degree price discrimination.**

Question No: 30 (Marks: 1) - Please choose one

Third-degree price discrimination involves:

- ▶ Charging each consumer the same two part tariff.
- ▶ Charging lower prices the greater the quantity purchased.
- ▶ The use of increasing block rate pricing.

▶ Charging different prices to different groups based upon differences in elasticity of demand.

Question No: 31 (Marks: 1) - Please choose one

Which of the following is true in long run equilibrium for a firm in a monopolistic competitive industry?

- ▶ The demand curve is tangent to marginal cost curve.
- ▶ The demand curve is tangent to average cost curve.

▶ The marginal cost curve is tangent to average cost curve.

- ▶ The demand curve is tangent to marginal revenue curve.

Question No: 32 (Marks: 1) - Please choose one

Which of the following would most likely shift the production possibilities curve for a nation outward?

- ▶ A reduction in unemployment.
- ▶ An increase in the production of capital goods.
- ▶ A reduction in discrimination.

▶ An increase in the production of consumer goods.

Question No: 33 (Marks: 1) - Please choose one

A demand schedule is best described as:

▶ A numerical tabulation of the quantity demanded of a good at different prices, ceteris paribus.

- ▶ A graphical representation of the law of demand.
- ▶ A systematic listing of all the variables that might conceivably bring about a change in demand.
- ▶ A symbolic representation of the law of demand: P, Q and Q, P .

Question No: 34 (Marks: 1) - Please choose one

A partial explanation for the inverse relationship between price and quantity demanded is that a:

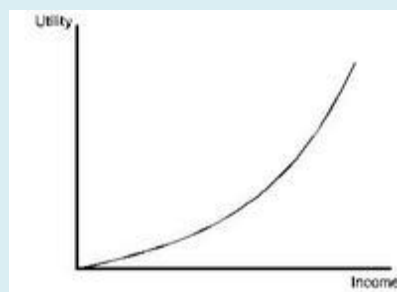
- ▶ Lower price shifts the supply curve to the left.
- ▶ Higher price shifts the demand curve to the left.
- ▶ **Lower price shifts the demand curve to the right.**
- ▶ Higher price reduces the real incomes of buyers.

Question No: 35 (Marks: 1) - Please choose one

The total utility curve for a risk neutral person will be:

- ▶ **Straight line.**
- ▶ Convex.
- ▶ Concave.
- ▶ None of the given options.

Question No: 36 (Marks: 1) - Please choose one



Figure

In figure given above, the marginal utility of income is:

- ▶ Increasing as income increases.
- ▶ Constant for all levels of income.

▶ **Diminishes as income increases.**

- ▶ None of the given options.

Question No: 37 (Marks: 1) - Please choose one

A welfare loss occurs in monopoly where:

- ▶ The price is greater than the marginal cost.

▶ **The price is greater than the marginal benefit.**

- ▶ The price is greater than the average revenue.
- ▶ The price is greater than the marginal revenue.

Question No: 38 (Marks: 1) - Please choose one

Which of the following is NOT a factor of production?

- ▶ Labour.
- ▶ Land.
- ▶ Capital.

▶ **Investment.**

Question No: 39 (Marks: 1) - Please choose one

Which of the following does NOT refer to macroeconomics?

- ▶ The study of the aggregate level of economic activity.

▶ **The study of the economic behavior of individual decision-making units such as consumers, resource owners, and business firms.**

- ▶ The study of the cause of unemployment.
- ▶ The study of the cause of inflation.

Question No: 40 (Marks: 1) - Please choose one

Demand is elastic when the elasticity of demand is:

▶ Greater than 0 but less than 1.

▶ **Greater than 1.**

▶ Less than 0.

▶ Equal to 1.

Question No: 41 (Marks: 10)

A. Differentiate between risk and uncertainty.

B. What would the risk neutral person, risk averse person and risk loving person do in the following cases?

o If Odds Ratio > 1

o If Odds Ratio $= 1$

o If Odds Ratio < 1

C. You toss a coin, if head comes, you are given Rs. 200 and if tail comes, you have to pay Rs. 200. Will you play this game or not? Give your answer with brief explanation.

(Marks: 3+3+4)

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Question No: 1 (Marks: 1) - Please choose one

The concept of a risk premium applies to a person that is:

▶ All of the given options.

▶ **Risk averse.**

▶ Risk neutral.

▶ Risk loving.

Question No: 2 (Marks: 1) - Please choose one

Assume that the current market price is below the market clearing level. We would expect:

- ▶ A surplus to accumulate.
- ▶ Downward pressure on the current market price.
- ▶ **Upward pressure on the current market price.**
- ▶ Lower production during the next time period.

Question No: 3 (Marks: 1) - Please choose one

The "perfect information" assumption of perfect competition includes all of the following EXCEPT:

- ▶ Consumers know their preferences.
- ▶ Consumers know their income levels.
- ▶ **Consumers know the prices available.**
- ▶ Consumers can anticipate price changes

Question No: 4 (Marks: 1) - Please choose one

If income elasticity is negative, the good is:

- ▶ Normal good.
- ▶ A substitute good.
- ▶ A complementary good.
- ▶ **Inferior good.**

Question No: 5 (Marks: 1) - Please choose one

The correlation between an asset's real rate of return and its risk (as measured by its standard deviation) is usually:

- ▶ **Positive.**
- ▶ Strictly linear.
- ▶ Flat.
- ▶ Negative.

Question No: 6 (Marks: 1) - Please choose one

Insurance companies operate under the principle of:

- ▶ **Law of large numbers.**
- ▶ Law of small numbers.
- ▶ Law of zero numbers.
- ▶ All of the given options.

Question No: 7 (Marks: 1) - Please choose one

A demand schedule is best described as:

- ▶ **A numerical tabulation of the quantity demanded of a good at different prices, ceteris paribus.**
- ▶ A graphical representation of the law of demand.
- ▶ A systematic listing of all the variables that might conceivably bring about a change in demand.
- ▶ A symbolic representation of the law of demand: P,Q and Q, P.

Question No: 8 (Marks: 1) - Please choose one

A firm in monopolistic competition does not achieve minimum efficient scale because:

- ▶ It is not a monopoly.
- ▶ **It is in competition with other firms.**
- ▶ It is operating on the downward-sloping part of the average cost curve.
- ▶ It produces at the minimum average cost.

Question No: 9 (Marks: 1) - Please choose one

Which of the following is NOT regarded as a source of inefficiency in monopolistic competition?

- ▶ The fact that price exceeds marginal cost.
- ▶ Excess capacity.
- ▶ **Product diversity.**
- ▶ The fact that long-run average cost is not minimized.

Question No: 10 (Marks: 1) - Please choose one

When a firm charges each customer the maximum price that the customer is willing to pay, the firm:

- ▶ Engages in a discrete pricing strategy.
- ▶ Charges the average reservation price.
- ▶ Engages in second-degree price discrimination.
- ▶ **Engages in first-degree price discrimination.**

Question No: 11 (Marks: 1) - Please choose one

The break-even point occurs when:

- ▶ Price < Average Variable Cost.
- ▶ Price < Average Total Cost.
- ▶ **Price = Average Total Cost.**
- ▶ Price > Average Variable Cost.

Question No: 12 (Marks: 1) - Please choose one

If a firm experiences economies of scale, then the:

- ▶ Long-run average total cost curve is equal to the economies of scope.
- ▶ **Long-run average total cost curve is positively sloped.**
- ▶ Long-run average total cost curve is horizontal.
- ▶ Long-run average total cost curve is negatively sloped.

Question No: 13 (Marks: 1) - Please choose one

Which of the following is an example of a natural monopoly?

- ▶ The trademark protecting Gatorade.
- ▶ The talents of Tom Hanks.
- ▶ **The local water company.**
- ▶ The patent on an Intel processor.

Question No: 14 (Marks: 1) - Please choose one

A monopoly occurs when:

- ▶ Each firm produces a product that is slightly different from the other firms.
- ▶ **One firm sells a good that has no close substitutes and a barrier blocks entry for other firms.**
- ▶ There are many firms producing the same product.
- ▶ All of the given options.

Question No: 15 (Marks: 1) - Please choose one

If current output is less than the profit-maximizing output then the next unit produced:

- ▶ Will decrease profit.
- ▶ Will increase cost more than it increases revenue.
- ▶ **Will increase revenue more than it increases cost.**
- ▶ Will increase revenue without increasing cost.

Question No: 16 (Marks: 1) - Please choose one

The total cost (TC) of producing computer software diskettes (Q) is given as: $TC = 200 + 5Q$. What is the variable cost?

- ▶ 200.
- ▶ **5Q.**
- ▶ 5.
- ▶ $5 + (200/Q)$.

Question No: 17 (Marks: 1) - Please choose one

Incremental cost is the same concept as:

- ▶ Average cost.
- ▶ **Marginal cost.**
- ▶ Fixed cost.
- ▶ Variable cost.

Question No: 18 (Marks: 1) - Please choose one

Fixed costs are fixed with respect to changes in:

- ▶ **Output.**
- ▶ Capital expenditures.
- ▶ Wages.
- ▶ Time.

Question No: 19 (Marks: 1) - Please choose one

When an isocost line is just tangent to an isoquant, we know that:

- ▶ **Output is being produced at minimum cost.**
- ▶ Output is not being produced at minimum cost.
- ▶ The two products are being produced at the medium input cost to the firm.
- ▶ The two products are being produced at the highest input cost to the firm.

Question No: 20 (Marks: 1) - Please choose one

A negatively sloped isoquant implies:

- ▶ Products with negative marginal utilities.
- ▶ **Products with positive marginal utilities.**
- ▶ Inputs with negative marginal products.
- ▶ Inputs with positive marginal products.

Question No: 21 (Marks: 1) - Please choose one

Diminishing marginal returns implies:

- ▶ Decreasing marginal costs.
- ▶ **Increasing marginal costs.**
- ▶ Decreasing average variable costs.
- ▶ Decreasing average fixed costs.

Question No: 22 (Marks: 1) - Please choose one

In economics, the “long run” is a time period in which:

- ▶ **All inputs are variable.**
- ▶ All inputs are paid for.
- ▶ All outputs are determined.
- ▶ All loans are repaid.

Question No: 23 (Marks: 1) - Please choose one

The following table shows a firm’s Total Product of labor. What is the Marginal Product of labor between 20 and 30 units of labor?

Table

Quantity of Labor	Total Product
0	0
10	100
20	230
30	340
40	410
50	460

- ▶ 340 units.
- ▶ **220 units.**
- ▶ 11 units.
- ▶ 110 units.

Question No: 24 (Marks: 1) - Please choose one

If Average Physical Product (APP) is increasing then which of the following must be true?

- ▶ **Marginal physical product is greater than average physical product.**
- ▶ Marginal physical product is less than average physical product.

- ▶ Marginal physical product is increasing.
- ▶ Marginal physical product is decreasing.

Question No: 25 (Marks: 1) - Please choose one

Assume Leisure is a normal good. If income effect exceeds substitution effect then a wage decrease will lead a person to:

- ▶ Decrease hours of work.
- ▶ **Increase hours of work.**
- ▶ Not change anything.
- ▶ All of the given options.

Question No: 26 (Marks: 1) - Please choose one

If a market basket is changed by adding more to at least one of the goods, then every consumer will:

- ▶ Rank the market basket more highly after the change.
- ▶ Rank the market basket more highly before the change.
- ▶ Rank the market basket just as desirable after the change.
- ▶ **Be unable to decide whether he prefers the first market basket to the second or the second to the first.**

Question No: 27 (Marks: 1) - Please choose one

Suppose there are only two goods A and B, if more of good A is always preferred to less, and if less of good B is always preferred to more, then:

- ▶ Indifference curves slope downwards.
- ▶ **Indifference curves slope upwards.**
- ▶ Indifference curves may cross.
- ▶ Indifference curves could take the form of ellipses.

Question No: 28 (Marks: 1) - Please choose one

Aslam spends all of his money on racquetballs and food. What would happen to Aslam's budget line if his income increased by 10 percent holding prices constant?

- ▶ It would shift inward.
- ▶ It would rotate about the axis for food.
- ▶ It would rotate about the axis for racquetballs.
- ▶ **It would shift outward.**

Question No: 29 (Marks: 1) - Please choose one

Suppose the first four units of an output produced incur corresponding total costs of 400, 700, 900, and 1000. The marginal cost of the fourth unit of output is:

- ▶ 50.
- ▶ **100.**
- ▶ 150.
- ▶ 200.

Question No: 30 (Marks: 1) - Please choose one

Consumers will maximize satisfaction when:

- ▶ The price of each good is exactly equal to the price of every other good consumed.
- ▶ The price of each good is exactly equal to the total utility derived from the consumption of every other good.
- ▶ **The marginal utility of the last dollar spent on each good is exactly equal to the marginal utility of the last dollar spent on any other good.**
- ▶ Marginal utility is equal to average utility.

Question No: 31 (Marks: 1) - Please choose one

Marginal utility is best described as:

- ▶ The total satisfaction gained from the total consumption of the good.
- ▶ The change in satisfaction from consuming one additional unit of the good.
- ▶ **The additional satisfaction gained by consumption of the last good.**
- ▶ The per unit satisfaction of the good consumed.

Question No: 32 (Marks: 1) - Please choose one

Cross price elasticity between coffee and tea is 1.5. It means that:

- ▶ Given a 1% increase in coffee price, we would expect a 1.5% increase in tea demand.
- ▶ Given a 1% increase in coffee price, we would expect a 1.5% decrease in tea demand.
- ▶ Given 1% increase in coffee price, there will be no change in tea demand.
- ▶ None of the given options.

Question No: 33 (Marks: 1) - Please choose one

When the price of petrol rises by 12%, the quantity of petrol purchased falls by 8%. This shows that the demand for petrol is:

- ▶ Perfectly elastic.
- ▶ Unit elastic.
- ▶ Elastic.
- ▶ **Inelastic.**

Question No: 34 (Marks: 1) - Please choose one

A price ceiling might be an appropriate government response to a:

- ▶ Period of falling farm prices due to unusually good harvests.
- ▶ Substantial increase in farm productivity due to applications of new technology in agriculture.
- ▶ **National security crisis leading to major shortages of essential goods.**
- ▶ Period of extraordinary large surpluses of farm goods.

Question No: 35 (Marks: 1) - Please choose one

Assume that steak and potatoes are complements. When the price of steak goes up, the demand curve for potatoes:

- ▶ **Shifts to the left.**

- ▶ Shifts to the right.
- ▶ Remains constant.
- ▶ Shifts to the right initially and then returns to its original position.

Question No: 36 (Marks: 1) - Please choose one

An increase in supply is shown by:

- ▶ Shifting the supply curve to the left.
- ▶ **Shifting the supply curve to the right.**
- ▶ Upward movement along the supply curve.
- ▶ Downward movement along the supply curve.

Question No: 37 (Marks: 1) - Please choose one

In a free-market economy, the allocation of resources is determined by:

- ▶ Votes taken by consumers.
- ▶ **A central planning authority.**
- ▶ Consumer preferences.
- ▶ The level of profits of firms.

Question No: 38 (Marks: 1) - Please choose one

Which of the following might be considered to be a characteristic of a planned economy?

- ▶ Price is relatively unimportant as a means of allocating resources.
- ▶ Goods and services produced reflect consumer sovereignty.
- ▶ **There is no incentive for people to work hard.**
- ▶ All income is completely evenly distributed.

Question No: 39 (Marks: 1) - Please choose one

Which of the following is a positive statement?

- ▶ When the price of a good goes up, consumers buy less of it.
- ▶ When the price of a good goes up, firms produce more of it.
- ▶ When the Federal government sells bonds, interest rates rise and private investment is reduced.

▶ **All of the given options.**

Question No: 40 (Marks: 1) - Please choose one

Microeconomics is the branch of economics that deals with which of the following topics?

- ▶ The behavior of individual consumers.
- ▶ Unemployment and interest rates.
- ▶ The behavior of individual firms and investors.
- ▶ The behavior of individual consumers and behavior of individual firms and investors.

Question No: 41 (Marks: 10)

- a. _____
- What is the relationship between average physical product and marginal physical product in three cases if:**
- i. Marginal physical product is equal to average physical product.**
The average physical product will not change.
 - ii. Marginal physical product is above the average physical product.**
The average physical product will also increase.
 - iii. Marginal physical product is below the average physical product.**
The average physical product will also fall